

known as **unified billing**) won't actually change anything about your loans, but it could make it easier for you to stay organized and make your payments on time. Check with your loan servicer to see if this option is offered.

- **Consider loan consolidation.** This is the process of combining various loans into one massive new loan with a new interest rate. The new interest rate is the weighted average of the rates on the loans you're consolidating rounded up to the nearest eighth of a point. It generally makes sense for borrowers who received federal loans before July 1, 2006, when those loans did not have fixed rates. If you're in the process of repaying loans like these, consolidating them will most likely let you lock in a rate that is lower than your current rate. But if your loans were issued after July 1, 2006 (when rates became fixed), then consolidating will not provide you with a lower rate. Check with your loan servicer to see if it offers consolidation, or try the Federal Direct Loan Consolidation Program (www.loanconsolidation.ed.gov). For more details on consolidation, go to www.finaid.com.

Choosing the Best Repayment Option

The standard way to pay back student loans is to make equal monthly payments for ten years. If you know where your loans are but you're having trouble making your monthly payments, you have several repayment options to choose from. The rules for these repayment options will depend on your servicer.

It's tempting to try to reduce your monthly payments, but be warned in advance that while these options may make your monthly payments more manageable, they could severely increase the total amount of interest you pay in the long run. Here are some common choices, whether you have a FFEL loan or a direct loan:

- **Extended repayment.** If you owe a lot, this option allows you to stretch out your repayment over a period of twelve to